TABLE 3.2

Varieties of Collective Financial Statecraft: Types of Actions and Venues

| Venue for Action | Type of Action Related to the Incumbent Powers | |
|---|---|---|
| | *Inside Reforms* | *Outside Options* |
| *Institutions* | Join and reform existing global governance institutions | Create new multilateral financial institutions |
| *Markets* | Resist dominant states' use of market power for their political aims | Promote a new distribution of financial market and monetary power to challenge incumbent powers' dominance |

One may locate the concrete cases of the BRICS collective financial statecraft in the four cells of Table 3.2. The upper-left cell represents inside reforms of existing institutions currently dominated by the incumbent powers. Case 1 examines collective efforts by the BRICS to reform the IMF and World Bank, with an emphasis on the former. The lower-left cell corresponds to inside reform options for influencing the non-market benefits accruing to states from their market position, including resisting the efforts of dominant states to employ their market-based financial or monetary power for political ends. Case 2 shows the BRICS joining together to oppose Western financial sanctions on Russia over the latter's intervention in Ukraine. The table's upper-right cell illustrates the situation of countries exercising their outside option to create new institutions or instruments, as in Case 3, the BRICS' decision to establish the NDB and CRA as parallel financial and monetary institutions run by and for the BRICS and other developing or emerging economies. Finally, the lower-right cell showcases outside options to influence the shape of international markets. The primary case (Case 4) discusses collective BRICS efforts to challenge U.S. dollar dominance in the global monetary order by group support for China's efforts to promote the enhanced use of the Chinese renminbi (RMB) for international transactions.

Other examples of activities that would fit in our fourth category include nascent efforts to support parallel structures to existing Western dominated payment, clearing, and settlement systems, such as their proposed